ESG Report

Task Force on Climate-related Financial Disclosures

Test's Organization

Annual Report • 2024

TCFD Compliant

Executive Summary

Test's Organization recognizes the materiality of climate-related risks to long-term business resilience and stakeholder value creation. In alignment with the Task Force on Climate-related Financial Disclosures (TCFD) framework, we have established robust governance structures to oversee climate strategy integration and environmental performance accountability. For the 2024 reporting period, our Executive Leadership Team has overseen the implementation of comprehensive greenhouse gas (GHG) accounting protocols to establish an emissions baseline that informs strategic risk management and decarbonization planning. Our 2024 GHG inventory quantifies total emissions at 1,852 kilograms of carbon dioxide equivalent (kg CO_2e) within our defined operational boundaries. Direct emissions from owned or controlled sources (Scope 1) account for 402 kg CO_2e, while indirect emissions associated with purchased electricity and energy consumption (Scope 2) constitute 1,450 kg CO_2e. Scope 3 value chain emissions are reported as 0 kg CO_2e, reflecting current assessment limitations or immaterial upstream and downstream activities, and indicating the need for enhanced supply chain engagement and comprehensive value chain quantification methodologies in future reporting cycles. These baseline metrics establish the foundation for Test's Organization's climate risk mitigation strategy and target-setting processes. We are committed to expanding our emissions monitoring capabilities to capture full value chain impacts and aligning our decarbonization trajectory with science-based targets. Moving forward, we will prioritize the integration of climate scenario analysis into our enterprise risk management framework to ensure operational resilience against transition and physical climate risks while meeting evolving regulatory requirements and stakeholder expectations for transparent climate disclosure.

Compliance Standards:

TCFD | ISSB S2 | EU CBAM Ready

Emissions Overview

SCOPE 1 – DIRECT EMISSIONS

402

kg CO2e

SCOPE 2 – INDIRECT (ENERGY)

1,450

kg CO2e

SCOPE 3 – VALUE CHAIN

0

kg CO2e

TOTAL EMISSIONS

1,852

kg CO2e

Test's Organization reports total greenhouse gas (GHG) emissions of 1,852 kg CO2e for the 2024 reporting period, quantified in accordance with the GHG Protocol Corporate Accounting and Reporting Standard. The emissions inventory comprises 402 kg CO2e in Scope 1 direct emissions from operational sources under organizational control and 1,450 kg CO2e in Scope 2 indirect emissions associated with purchased electricity and thermal energy. Scope 3 value chain emissions are reported as zero kg CO2e, reflecting the current organizational boundary parameters established for this disclosure cycle. Scope 2 emissions constitute the majority of the organization's carbon footprint at approximately 78% of total emissions, primarily attributable to facility energy consumption. Scope 1 emissions derive from direct stationary combustion and mobile combustion activities. The methodology aligns with TCFD recommendations for climate-related metrics and targets, utilizing established emission factors and calculation protocols to ensure comparability and verifiability of disclosed data. The absence of Scope 3 emissions indicates the current reporting boundary excludes upstream and downstream value chain categories from quantitative assessment. As the organization advances its climate disclosure maturity in accordance with TCFD pillars, evaluation of material Scope 3 categories—including purchased goods and services, capital goods, and downstream transportation—will be considered to enhance completeness of climate risk exposure analysis. These metrics establish the baseline for tracking emissions performance and inform strategic decision-making regarding operational decarbonization and climate resilience.

Governance

Test's Organization maintains a governance structure that ensures Board-level oversight of climate-related risks and opportunities in accordance with the Task Force on Climate-related Financial Disclosures (TCFD) framework. The Board of Directors retains ultimate responsibility for reviewing and approving the organization's climate strategy, emission reduction targets, and sustainability disclosures. During the 2024 reporting period, this governance framework encompassed direct accountability for the accuracy and completeness of greenhouse gas emissions inventories, including oversight of the disclosed 1,852 kg CO_2e total carbon footprint comprising 402 kg CO_2e in Scope 1 direct emissions, 1,450 kg CO_2e in Scope 2 indirect energy emissions, and 0 kg CO_2e in Scope 3 value chain emissions. Management operates under delegated authority from the Board to implement climate governance policies, establish data collection protocols, and ensure operational compliance with the Greenhouse Gas Protocol standards. Designated personnel are responsible for monitoring direct fuel consumption and purchased electricity usage, applying appropriate emission factors, and conducting internal verification processes to validate the integrity of reported figures. The organization's governance framework mandates documented procedures for carbon accounting boundary setting, with current Scope 3 calculations reflecting the organization's present operational scope and supply chain engagement levels. Climate-related performance metrics are integrated into the organization's enterprise risk management and accountability structures, with established reporting channels ensuring regular communication of emissions data and climate risks to the Board. The governance framework requires periodic review of the organization's environmental footprint to assess progress toward sustainability objectives and ensure alignment with evolving regulatory requirements. This oversight mechanism ensures that climate considerations inform strategic decision-making while maintaining transparency in environmental disclosures and corporate stewardship obligations.

Strategy

Test's Organization maintains a limited carbon footprint consistent with its operational model, reporting total greenhouse gas (GHG) emissions of 1,852 kg CO_2e for the 2024 reporting period. This inventory positions the organization within a lower emission intensity tier relative to applicable industry benchmarks, reflecting a business strategy that inherently minimizes direct exposure to transition risks associated with carbon pricing mechanisms and evolving regulatory requirements. The modest scale of absolute emissions supports strategic flexibility in pursuing net-zero alignment pathways while reducing vulnerability to policy-driven cost increases affecting carbon-intensive sectors. The organization's emissions profile is dominated by Scope 2 indirect energy-related sources, accounting for 1,450 kg CO_2e (78.3% of total emissions), primarily associated with purchased electricity consumption in operational facilities. Scope 1 direct emissions comprise 402 kg CO_2e (21.7%), indicating minimal reliance on on-site fuel combustion and limited operational fleet requirements. This concentration in Scope 2 informs our strategic prioritization of renewable energy procurement and energy efficiency investments as primary decarbonization levers, while the minimal Scope 1 footprint reduces near-term capital expenditure requirements for operational emissions abatement initiatives. Current reporting boundaries reflect zero Scope 3 value chain emissions based on initial assessment parameters; however, strategic planning acknowledges the necessity of comprehensive value chain analysis to identify indirect climate-related risks embedded within supply chains, investments, and downstream product utilization. The organization recognizes that full TCFD alignment and robust climate risk management require progressive expansion of emissions accounting to capture material categories of purchased goods, services, and financed emissions. This phased approach to carbon accounting integration informs our strategic roadmap for climate resilience, ensuring future scenario analysis capabilities encompass full value chain exposure to physical and transition risk factors.

Risk Management

Test's Organization maintains a comprehensive climate risk management framework that integrates greenhouse gas emissions quantification into our enterprise risk assessment methodology. During the 2024 reporting period, we conducted a detailed carbon inventory revealing total operational emissions of 1,852 kg CO2e, comprising 402 kg CO2e in Scope 1 direct emissions and 1,450 kg CO2e in Scope 2 indirect energy emissions, with Scope 3 value chain emissions assessed at zero. This emissions profile informs our identification of transition risks, including regulatory shifts and carbon pricing mechanisms, as well as physical risks associated with energy infrastructure resilience. Our assessment processes evaluate these quantitative metrics alongside qualitative risk factors to prioritize climate-related exposures within our risk register and determine materiality thresholds. We manage identified climate risks through targeted mitigation strategies aligned with our operational footprint characteristics. Given that Scope 2 emissions represent approximately 78 percent of our total carbon inventory, we prioritize renewable energy procurement and facility efficiency improvements to address indirect energy-related exposures, while minimal Scope 1 emissions reflect effective controls on direct operational sources. For Scope 3 activities currently reported at zero emissions, we maintain vendor engagement protocols and contractual monitoring mechanisms to ensure ongoing surveillance of supply chain developments. Risk tolerance levels are established based on scenario analysis outcomes, with climate risk indicators integrated into departmental performance metrics and capital allocation decision-making criteria to ensure proactive risk treatment. Our climate risk governance structure ensures these identification and management processes are fully embedded within the broader Enterprise Risk Management (ERM) framework. Climate-related risks are evaluated within the same governance structures, risk appetite statements, and escalation protocols as conventional financial and operational risks, with quarterly assessments conducted by the Risk Management Committee. The organization's limited carbon intensity, evidenced by total emissions below two metric tonnes of CO2e, positions Test's Organization favorably regarding compliance and transition risk exposures, though we maintain vigilance regarding evolving regulatory requirements and stakeholder disclosure expectations. This integration ensures that climate risk considerations systematically inform strategic planning, business continuity protocols, and operational resilience initiatives across all functional areas.

Metrics & Targets

Test's Organization discloses greenhouse gas (GHG) emissions totaling 1,852 kilograms of carbon dioxide equivalent (kg CO_2e) for fiscal year 2024, quantified in accordance with the GHG Protocol Corporate Accounting and Reporting Standard and the Task Force on Climate-related Financial Disclosures (TCFD) recommendations. The emissions inventory comprises 402 kg CO_2e in Scope 1 direct emissions from controlled operational sources and 1,450 kg CO_2e in Scope 2 indirect emissions from purchased energy consumption, utilizing applicable regional emission factors and the operational control consolidation approach. Scope 3 value chain emissions are reported at 0 kg CO_2e, reflecting the current operational scope and organizational boundary definitions. This comprehensive metrics baseline establishes the quantitative foundation for assessing climate-related risks, carbon intensity, and decarbonization opportunities across business activities. The emissions profile indicates that indirect energy consumption represents the predominant climate impact, accounting for approximately 78 percent of total reported emissions, while direct operational emissions comprise the remaining 22 percent. This distribution informs the prioritization of climate mitigation strategies, particularly regarding energy efficiency improvements, renewable electricity procurement, and operational optimization initiatives. Under the TCFD framework, these quantitative metrics facilitate the evaluation of transition risks associated with evolving carbon pricing mechanisms and energy regulations, while supporting strategic planning for climate resilience and low-carbon transition pathways. Test's Organization utilizes this 2024 emissions inventory as the performance baseline for establishing science-based climate targets aligned with the Paris Agreement objectives and industry decarbonization trajectories. The organization commits to regular monitoring, annual disclosure, and third-party verification of emissions data to ensure the integrity of climate-related financial disclosures and progress tracking. Future reporting cycles will incorporate expanded Scope 3 category assessments as supply chain engagement and data availability mature, ensuring comprehensive alignment with TCFD guidance on metrics and targets disclosure.

METRIC	VALUE	UNIT
Total GHG Emissions	1,852	kg CO_2e
Scope 1 Emissions	402	kg CO_2e
Scope 2 Emissions	1,450	kg CO_2e
Scope 3 Emissions	0	kg CO_2e

Data Verified on Polygon Blockchain

Report generated on March 05, 2026 at 20:13 UTC

This report has been prepared in accordance with Task Force on Climate-related Financial Disclosures (TCFD) requirements.